Gwalior are involved in processing the procured milk. At the apex is the MPCDF with its brand Sanchi that exercises administrative control over the unions and primary bodies. It also helps in marketing the products.

Among the milk unions, Bhopal, Indore, Ujjain and Sagar are doing reasonably well, posting profits of around Rs 20 crore, which are ploughed back to livestock owners. The Gwalior milk union has accumulated losses of some Rs 40 crore while Jabalpur has run into financial trouble recently, mainly due to some ambitious projects that did not fructify.

THE CHURN WITHIN

- MP wants to hand control of MP State Cooperative Dairy Federation to the National Dairy Development Board for five years
- Oppn Congress says it'll undermine cooperatives, put Sanchi brand in peril
- MP is third largest producer of milk in the country, but growth stunted in the sector in past few years

Meanwhile, the NDDB, a central organisation based in Anand, Gujarat, has been getting some bad press here, mostly due to its geographical location—it's also the headquarters of Gujarat Cooperative Milk Marketing Federation brand Amul. The fact that the latter is in major expansion mode in the state doesn't help. Unofficially, those in the know claim the decision to hand over the state cooperative's reins to NDDB may in fact help check Amul which, in the past three years, has reportedly increased its daily milk collection by six times in MP. The state dairy federation also has an HR issue; it has not made major recruitments for the past many years. Out of the six milk unions, only Indore has an elected body as mandated while the rest and the state body are run by bureaucrats.

What would the NDDB do once it takes over? It has to recruit 50-60 mid- to senior-level executives to fill up vacancies and would pay their salaries. A consultancy fee the NDDB charges usually has been waived, as have supervision charges levied at 4-6 per cent of project cost. Many of the plants owned by the state dairy federation are old and the NDDB is expected to bring in new technology and plants. The cost of the plants, however, would be borne by the milk unions through low-interest loans.

In the past, there have been a few inhouse attempts to strengthen the Sanchi brand. After the state dairy federation was set up in 1980, it soon began manufacturing ghee. The period a decade later saw a diversification in product range with the introduction of butter, butter milk, flavoured milk, *peda*s and now even ice cream and coconut milk. The brand, however, has not been able to make an impact anywhere comparable to Amul outside MP.

The NDDB has in the past taken over other state milk cooperatives to strengthen them. Rajasthan, Jharkhand, Assam, Maharashtra and Karnataka are some states where the NDDB took up this role. Why then does the Opposition have an issue with the takeover? "The laws pertaining to cooperatives do not allow taking over of administrative control of a running cooperative body. There are no issues with the NDDB performing a supervisory role, being a consultant and financing initiatives, but it should not take over the management. This will severely damage the cooperative movement," says Congress Rajya Sabha MP and senior lawyer Vivek Tankha.



LITRE BY LITRE
A cooperative milk collection centre in Chhatarpur, MP

A key reason could also be the insecurity around a potential loss of jobs to existing staff. "The state dairy cooperative currently has around 700 permanent employees while it needs around 2,000 to function efficiently. The CM has assured employees that there would not be any loss of jobs due to the takeover. Why would jobs be taken when the NDDB needs more people on board?" asks Sathish Kumar S., MD of the MPCDF. Some of the anxiety apparently arises from what